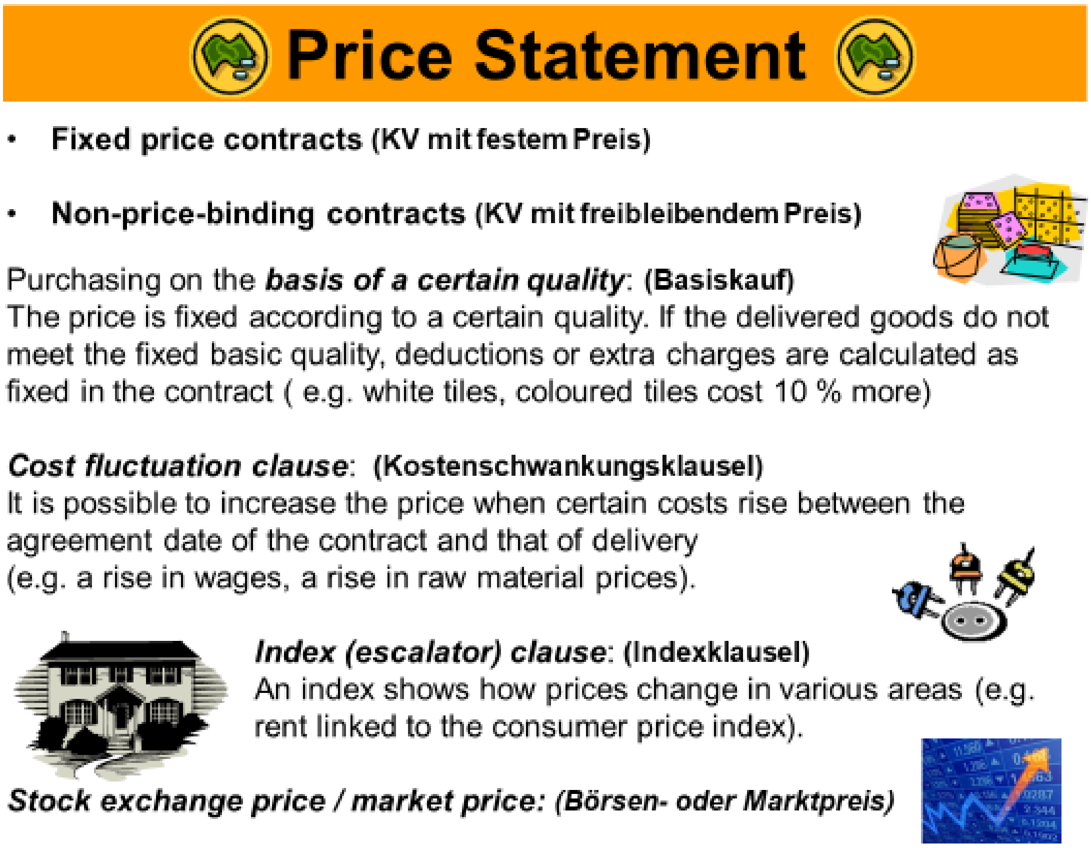
WS Price Statement

1. Write down the legally required points (elements) of a sales contract:

2. Below you see the possibilities to state the price in a sales contract:



3. For the following examples, indicate which type of price statement is appropriate.

a. Construction of a medical center (*Ärztezentrum*):

b. Purchase of 20 packs copy paper (80g, 500 sheets per pack):

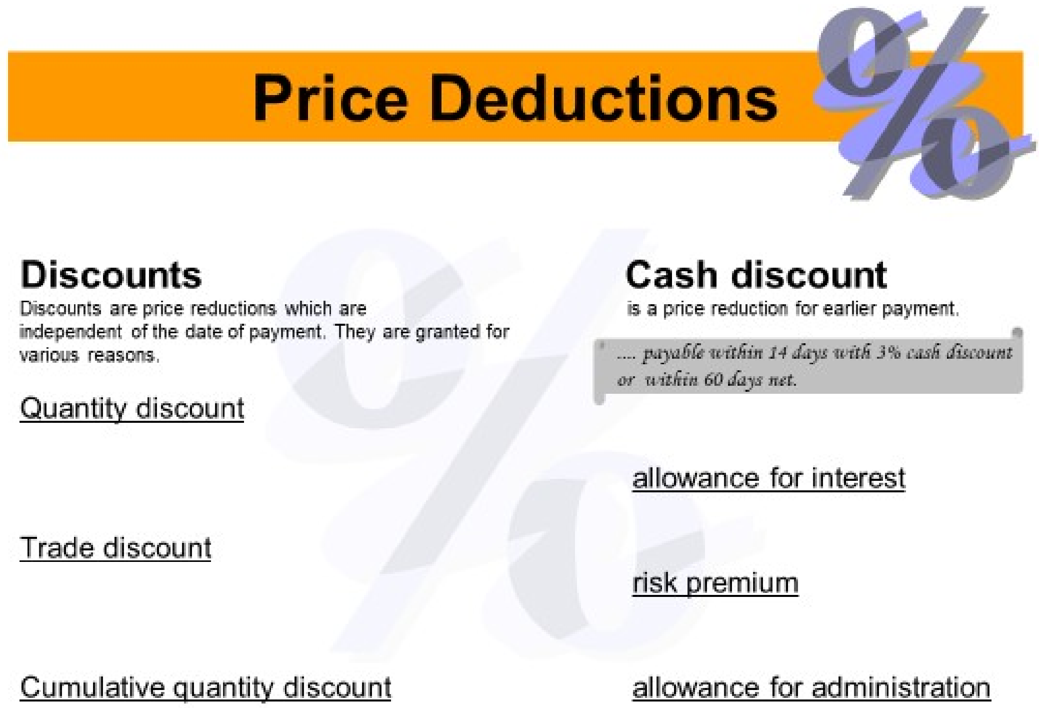
c. Order of 1,000 swim shorts – the exact specification (colors, material, etc.) will follow:

d. Rent for office space:

e. Purchase of 10,000 liters heating oil (*Heizöl*):

WS Price Statement

4. Price Deductions:
The seller can offer the following discounts:



Match the following terms and definitions:

1.	Quantity discount *Mengenrabatt*
2.	Cumulative quantity discount *Umsatzbonus*
3.	Trade discount *Händlerrabatt*
4.	Allowance for interest *Zinsvergütung*
5.	Risk premium *Risikoprämie*
6.	Allowance for administration Verwaltungsvergütung

a.	The seller receives the money earlier than agreed. He can use the money to pay back a loan or credit (and save interest) or to make other investments.
b.	This discount is granted to wholesalers and retailers to compensate them for particular marketing functions, especially the distribution function.
c.	The discount is based on the quantity purchased (for 100 units 5%, for 1000 units and mor 10%)
d.	The seller does not have to supervise the payment, check the due dates, send reminders, etc.
e.	This discount is based on the total volume purchased over a period of time. It ties customers more closely to the seller. It is normally paid at the end of the business year.
f.	Having received the money immediately, there is no risk of any delayed payment or non-payment.